

Research Execution Plan for *Five Business Days*

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1 Purpose, Scope, and Decision Rule

This document records the execution decisions behind the research proposal *Five Business Days*. It separates project management from the academic argument while preserving the feasibility constraints that determine what can be claimed. The proposal evaluates the February 2024 acceleration of the initial Schedule 13D filing deadline, with required trading days as the primary exposure measure, derivative substitution as a second behavioural margin, and the timing of takeover gains as a complementary measurement exercise.

The earlier 92-page liquidity-hump draft remains a separate working paper. It is frozen after a bounded hygiene pass covering the enumerated cross-country threshold claims, the $\kappa \rightarrow 1$ narrative, welfare units, and two citation attributions. A one-week Gaussian-noise falsification exercise closes the remaining question about the old model's hump and belongs in that draft's appendix, not in this project.

The new project is gate-first. Full model derivations, appendix machinery, calibration, and price-dependent empirical work begin only after the access and EDGAR gates below establish that the required inputs exist and that at least one non-mechanical margin can be measured. A failed gate changes the scope; it does not suspend the project indefinitely.

The March 2027 objective is a milestone presentation containing the exposure measure, first-stage evidence, a model skeleton, and an initial analysis of target gains. It is not a draft deadline. The full paper is scheduled for summer 2027 and the autumn job market.

2 Design Decisions Already Fixed

2.1 Target-level exposure

The original design used a leave-one-out mean of an activist's past accumulation. That measure is not viable as the main source of identification. Polk et al. (2024) report 9,685 initial Schedule 13D filings by 5,863 entities from 2001–2022, only 1.65 filings per entity. The project's initial 300-filing sample contains 259 unique filer CIKs, 29 filers with at least two filings, and

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three with at least three. Combining the historical measure with activist fixed effects would leave only a few dozen repeat funds observed on both sides of the reform. It would also select the prominent activists most able to pre-position or use derivatives.

The primary exposure is therefore the target-level number of trading days required to add five percentage points of ownership at a participation cap,

$$\text{RTD}_i = \frac{0.05 \times S_{\text{out},i}}{\phi \times \text{ADV}_i}.$$

Activist history remains a secondary heterogeneity split for activists with at least two pre-2024 non-corporate-action campaigns.

2.2 Outcomes that cannot identify behaviour

Filing-delay compression is required by the new rule and cannot by itself show that activist behaviour changed. The two-business-day amendment deadline also changes post-filing accumulation independently of the initial-filing deadline. Neither measure can pass an empirical gate. The behavioural margins are stake at filing, trigger-to-filing accumulation, campaign entry and target composition, and Item 6 derivative use.

2.3 Model and gain measurement

The model is restricted to one private type, a quadratic post-trigger accumulation cost, an exogenously garbled filing, a free-entry bidder cutoff, and a bargaining share disciplined by one appropriability parameter. The model does not add a second operational-versus-sale type, an endogenous signalling game, the tender-game primitives, a within-window trading path, or priced cash-settled derivatives. Ten to fourteen pages are feasible for the restricted model; the discarded specification would require roughly eighteen to twenty-two pages plus an appendix. Any new mechanism requires removing an existing one.

The target-gain analysis uses a fixed event-time anchor. Calendar-window decompositions are invalid here because the reform mechanically moves days from the filing interval to the post-filing run-up. The main filing object is the $[-1, +1]$ filing return as a share of total gain, holding the trigger-to-bid horizon fixed. A mechanical placebo recuts pre-reform filings at five business days, and a behavioural placebo uses campaigns that already filed within five business days under the old rule.

3 Data Inventory and Access Status

The core estimation sample is 2022–2026. The SEC’s published 2011–2021 tables anchor the earlier period; a full 2010–2021 backfill begins only after Item 5(c) extraction is validated on the core sample. Table 1 records the build status as of 2 August 2026.

Two access decisions dominate the price-based work. CRSP or WRDS determines whether average daily volume, Amihud illiquidity, and returns can be constructed. The M&A source determines whether the gain analysis can cover the full deal universe or only a hand-collected acquired-target subsample. The EDGAR first stage does not depend on either decision.

Table 1: Data and implementation inventory

Component	Status	Build estimate	Gate	Principal risk
Schedule 13D and amendment enumeration	partial	1–2 weeks	none	Low to medium; in progress on 2 August 2026.
Item 5(c) transaction tables	none	4–8+ weeks	pre-estimation	High; heterogeneous tables require programmatic extraction and substantial manual review.
Item 4 purpose classification	none	3–5 weeks	validation	Medium to high; require 95 per cent automated-versus-manual agreement on a blinded 200-filing subset.
Trigger-date parser	partial	2–3 weeks	pre-estimation	Current parse rate is 0.64–0.68; hand-check against Item 5(c).
Post-December-2024 XML ingestion	partial	1–2 weeks	none	Mechanically easier but covers only about 18 months.
CRSP or WRDS access	unconfirmed	1–2 weeks after access	week-1 decision	Required for average daily volume and all return-based outcomes.
Amihud and average daily volume	none	1–2 weeks after CRSP	access	High; required for the primary exposure measure.
M&A outcomes	none	4–8 weeks by EDGAR route	week-2 source decision	High; choose Bloomberg access or hand-collection from Forms 8-K and DEFM14A.
Merger-background chronologies	none	out of scope	none	No tooling, corpus, or design note exists; exclude from the critical path.

4 Pre-Analysis Gates

Gate 0, week 1: advisor ratification

Prepare a two-page decision memo and hold a supervision meeting. The memo states what is being abandoned as the job-market-paper framing, what remains frozen as a separate working paper, and what the new project will build. Every subsequent gate is conditional on this decision.

Gate 1, weeks 1–2: access and source decisions

Submit and calendar the CRSP or WRDS request. Complete the Bloomberg terminal inventory for deal fields, premia, export limits, and academic terms of use. Choose between a Bloomberg deal route and hand-collection from EDGAR. If price data remain unavailable, activate the EDGAR-only configuration rather than delaying the first stage.

In parallel, complete the bounded hygiene pass and Gaussian-noise check on the frozen companion draft. Neither task may expand into a redesign of that paper.

Gate 2, weeks 2–4: pre-registered EDGAR analysis

Pre-register minimum detectable effects using the SEC’s Tables 3, 5, and 6, before examining the realised estimates. The EDGAR analysis contains:

1. untrimmed filing-delay distributions split by corporate-action status;
2. stake-at-filing distributions;

3. entry and composition by a coarse, price-free proxy for required trading days;
4. Item 6 cash-settled-derivative language; and
5. switching between Schedules 13G and 13D near five per cent ownership.

Proceed to the full build if at least one non-mechanical margin moves by its pre-registered detectable magnitude. If none does, reduce the model to the accumulation corner and gain-accounting restriction, and reposition the paper around a well-measured policy null and the timing of target gains. Mechanical filing compliance cannot satisfy this rule.

5 Measurement and Validation Requirements

5.1 Filing delay and corporate-action status

The current pipeline reports a post-reform median delay of 5.0 business days in 2024Q3–Q4, compared with 7.0 days in 2023Q2–Q3. It also reports 75.6 per cent of post-reform filings within five business days, compared with 35.7 per cent before the reform, but the post-reform calculation removes delays above 60 business days without documentation. In the full set of 96 non-missing post-period observations, 68 filings, or 70.8 per cent, fall within five business days. The pooled data also combine corporate-action and non-corporate-action filings, although the SEC reports late-filing rates of 34 and 11 per cent for those groups (U.S. Securities and Exchange Commission [2023](#)).

The production statistic must therefore be untrimmed, with the 60-day trim reported only as a robustness check, and must separate filings by corporate-action status. The split depends on the Item 5(c) history classifier.

5.2 Exposure construction

The six-month average-daily-volume window ends 60 trading days before the trigger. Item 5(c) transaction tables must be used to diagnose residual activist trading in that window. The exposure measure is then reconstructed with a 120-trading-day lag. Covariate balance across exposure bins is reported before any estimate. Specifications include activist-by-quarter, liquidity-decile-by-quarter, and size-decile-by-quarter fixed effects.

5.3 Inference battery

The causal interpretation requires all of the following:

- at least 500 placebo reform dates drawn from 2015–2023, with the complete specification re-estimated at each date;
- at least 500 permutations of required trading days across activists while holding the panel structure fixed;
- quarterly exposure-bin event studies beginning in 2019 and a joint pre-trend test; and

- a non-US activist-block sample based on UK DTR5 and E.U. Transparency Directive notifications, used only to absorb the global M&A and interest-rate cycle, not as a legal-threshold comparison.

The realised estimate’s percentile is reported in both placebo distributions. Failure of the pre-trend condition prevents a causal interpretation. The October 2023 to February 2024 period is excluded from the main pre-period, with additional exclusions around the March 2022 proposal and April 2023 reopening.

5.4 Power limits

The SEC reports that only 3 per cent of non-corporate-action campaigns, about seven per year, had accumulated less than 90 per cent of their stake by the new deadline; only 1 per cent, about one per year, had accumulated less than 75 per cent (U.S. Securities and Exchange Commission 2023). The expected 2024–2026 sample is roughly 540–700 non-corporate-action campaigns. The sale-intent triple interaction on bid hazard has a minimum detectable effect of 17–31 percentage points on a base rate of about 17 percentage points, with roughly three bids in the materially exposed post-reform cell. It remains descriptive and is reported with confidence intervals only.

6 Eight-Week Execution Schedule

Table 2: Critical path

Timing	Deliverable	Exit condition
Week 1	Advisor memo; CRSP or WRDS request; Bloomberg inventory	Gate 0 ratified and access requests documented.
Weeks 1–2	Source decisions; companion-draft hygiene; Gaussian-noise check	Price-data and M&A routes fixed; companion work frozen.
Weeks 2–4	Pre-registered EDGAR analysis	Non-mechanical proceed-or-reduce decision recorded against ex ante minimum detectable effects.
Weeks 5–8	Trigger parser; average daily volume or EDGAR turnover proxy; Gate-2 write-up	Inputs required for the primary exposure design validated.
Weeks 5–10	Item 4 purpose codebook	Blinded 200-filing validation reaches 95 per cent agreement.
Weeks 9–12	Acquired-target pilot, conditional on M&A route	Initial filing, run-up, and markup decomposition completed.

The trigger-date parser and the exposure denominator are the critical path. The Item 4 codebook may extend to weeks 8–10, and the acquired-target pilot may extend to weeks 9–12. Weeks 5–8 commit to the critical inputs and Gate-2 write-up, not to completion of those overflow tasks.

7 Fallbacks, Dissemination, and Publication Strategy

If the schedule slips, reduce scope in this order:

1. keep merger-background chronologies out;
2. omit the signalling block;
3. replace the full deal-universe analysis with the hand-collected acquired-target subsample;
4. drop the 2010–2021 backfill; and
5. use the EDGAR-only configuration covering stakes, timing, composition, and derivatives.

The first-stage facts and exposure design go to SSRN when the exposure measure is fixed, with month 4–5 as the target. The novelty search is repeated at every revision, as is the publication-status check for Celentano and Levine (2025), whose capitalisation interpretation must remain properly attributed. The literature characterisations are tied to full-text reading records and logged quotations; the one claim based only on an author-posted summary remains explicitly qualified.

Publication planning is contingent on the evidence. A detectable response in campaign activity, derivative use, or both defines the upside set; a joint response is its strongest case. These outcomes support an RFS-or-above target. A precisely estimated null, bounded by the pre-registered minimum detectable effects, is planned for JCF or RF. These are planning targets, not claims made in the research proposal.

References

- Celentano, Francesco and Oliver Levine (2025). “Shareholder Activism, Takeovers, and Managerial Discipline”. R&R, Review of Financial Studies. Swiss Finance Institute Research Paper No. 25-81; SSRN 5506659.
- Polk, Ryan Christopher et al. (2024). “Shrinking the 13D Disclosure Window Will Benefit Non-Activist Investors”. In: *Journal of Financial Regulation and Compliance* 32.4, pp. 516–538.
- U.S. Securities and Exchange Commission (Oct. 2023). *Modernization of Beneficial Ownership Reporting*. Release Nos. 33-11253; 34-98704. Adopted October 2023; effective February 5, 2024. U.S. Securities and Exchange Commission. URL: <https://www.sec.gov/files/rules/final/2023/33-11253.pdf>.